

Ares Secondaries' Sabey Bet Shows Data Center Capital Is Chasing Liquidity, Not Just Growth

A minority stake in a mature platform signals that institutional capital wants exit optionality, not just megawatt exposure.

The numbers behind the move

The capital is not funding construction

The most important detail in Ares Secondaries' minority equity investment in Sabey Data Center Properties is not the megawatts. It is the word "secondaries." Ares is not buying a development site or a newly constructed shell. It is buying into a mature, operating platform with 251 megawatts online and a clear path to triple that capacity on existing land. The capital is not funding construction.

It is buying out existing equity, giving Sabey Corp

It is buying out existing equity, giving Sabey Corp. and National Real Estate Advisors a way to monetize a portion of their stake without selling the whole platform. This is a liquidity event disguised as a growth investment. Sabey Data Center Properties is a fully integrated owner, developer and operator with six energized campuses across the United States. The platform is jointly owned and governed by Sabey Corp.

The existing land holdings give the platform the ability to triple its operating

and National Real Estate Advisors, which manages the investment on behalf of institutional clients. The existing land holdings give the platform the ability to triple its operating capacity by 2036, a timeline that signals patient capital and a long development runway. The transaction expands the ownership base and adds institutional capital with capacity for future expansion. But the structure matters more than the headline.

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Ares Secondaries funds are designed to acquire existing stakes in private assets, not to originate new development. The investment gives the original sponsors partial liquidity while keeping the platform intact and under their operational control. That is the capital markets signal: institutional demand for data center exposure is strong enough to support secondary transactions, but the primary market for new data center equity is still selective.

The deal also reveals something about the data center capital stack

Developers with operating track records and land banks can access capital. Developers without a proven platform or a clear path to power face a much harder conversation. The deal also reveals something about the data center capital stack. Equity in operating data centers has become a distinct asset class, separate from development equity and separate from the debt markets that finance construction.

They are less willing to underwrite entitlement risk, construction timelines

Investors like Ares Secondaries are willing to pay for cash flow, tenant credit quality, and the embedded option to expand on owned land. They are less willing to underwrite entitlement risk, construction timelines, and power procurement from scratch. Who benefits? Sabey Corp. and National Real Estate Advisors gain partial liquidity and a new institutional partner with deep pockets and a long horizon.

Developers without operating assets or land banks

Ares Secondaries gains exposure to a scaled platform with a built-in growth pipeline, without the operational burden of managing construction. The broader data center market benefits from a signal that secondary liquidity exists for high-quality platforms, which should support valuations across the sector. Who is exposed? Developers without operating assets or land banks. The capital that flows into secondaries is capital that is not flowing into new development.

What should the market watch next?

If institutional investors can buy into proven platforms at a reasonable basis, they have less incentive to underwrite greenfield projects with uncertain timelines and power availability. What should the market watch next? The pricing of secondary data center stakes. If Ares Secondaries paid a premium to net asset value, it confirms that institutional capital is willing to pay up for liquidity and scale.

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If the deal was done at or below NAV, it suggests that even the best platforms are not immune to the broader repricing of real assets. The terms of this transaction were not disclosed, but the market will infer the signal from the structure. Data center capital is not just chasing growth. It is chasing liquidity, and it is willing to pay for it.

Why it matters

The existing land holdings give the platform the ability to triple its operating capacity by 2036, a timeline that signals patient capital and a long development runway.

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